Williams (WMB)

3Q26 | 4 November 2026 | Earnings Update | Post-call version

1 Executive snapshot

Consensus thesis: Investors own Williams as a fee-based gas pipeline compounder with contracted growth of 11%-plus a year through 2030, and Power Innovation (behind-the-meter generation for hyperscalers) as the AI option on top.

Thesis status: Intact

Versus expectations: Quarter in line: adjusted EPS $0.54 against $0.54 at MarketBeat ($0.56 at Zacks); no published adjusted EBITDA consensus. Outlook in line: FY26 guide held at $8.3bn to $8.5bn, tracking the upper half.

Biggest changes

- The call put a number on the next step: 'one or two' more power projects by year-end, with larger scale, longer terms and 'high quality counterparties'. Signed capacity is still 2,588 MW.
- Year-end leverage is now about 3.75x before new power projects, leaving about $2bn of room to the 4x ceiling (per CFO). Our preview carried about 3.9x from the 2Q call (transcript not held this run); the basis may differ [INFERENCE].
- About $5.9bn of equipment commitments for potential projects surfaced in the 10-Q. The CFO said some carry cancellation terms and declined to tie them to the 6 GW-plus opportunity set.
- Partner pricing has 'moved a bit' from the 6.35% of the July Blackstone deal with 10-year Treasuries, per the CFO, who gave no direction; we read it as higher [INFERENCE].
- NESE: the Third Circuit remanded the New Jersey certificate. The CEO said this could threaten in-service by next winter, with no material effect on the financial outlook.

Investor takeaway: The consensus view does not need to change: the pipeline engine and credit hold, and the AI option gets a dated test (one or two projects by year-end), but its returns are still undisclosed and partner capital may cost more than in July.

Monitor next quarter: One or two power awards by 31 December: GW, tenor, counterparty, funding structure.; Year-end leverage against about 3.75x, and how new projects use the $2bn of room.; NESE: New Jersey remand, the 9 November Senate cloture vote, in-service date.

2 Key changes this quarter

Pillar	What the market assumed	What the quarter showed	Verdict	Source
P1 Contracted growth at 11%-plus	Double-digit EBITDA growth through 2030; FY26 held or raised	EBITDA +6% YoY, YTD +9%; upper half of range; 11%-plus reaffirmed. No 2027 range given.	Confirmed	Release; call
P2 Power scales beyond 2.6 GW	More projects by year-end from a 6 GW-plus backlog	No award yet. CEO: one or two by year-end, more in 2027; timing depends on signed agreements and permits.	Unresolved	Call
P3 Leverage within 3.5x to 4.0x	About 3.9x at year-end	3.80x at 30 September; about 3.75x guided at year-end before new projects; $2bn room to 4x. 4.11x on gross debt (our math).	Confirmed	Release; call
P4 Power earns pipeline-like returns	About 20% pre-tax, helped by JV promote	Management says the return framework should hold on larger projects and costs fall for customers, but gives no EBITDA or return figure. Partner pricing has moved since July.	Unresolved	Call
P5 Transco on schedule	SESE partial early 2027; NESE on time	Four projects added over 400 MMcf/d. NESE remand puts next-winter timing at risk. SESE not found in sections read.	Challenged	Call; release

Emphasized more: Customer quality and tenor on power projects; phased, larger projects; gas-supply security in site choice; partner capital.

Emphasized less or dropped: Socrates economics stayed undisclosed; no project-level EBITDA. The 2026-27 leverage squeeze was framed as temporary, with earnings stronger from 2028.

KPIs more important: Signed GW, leverage on a stated definition, distributions to Blackstone. Less important: quarterly marketing EBITDA.

Risks: Up: NESE timing, cost of JV capital, equipment commitments. Down: Socrates delivery, with Phase 2 due later this week, ahead of schedule and within budget per the CEO. The release called Socrates fully online

and also had Plato North on track for mid-November; the call says Phase 2 is still to come.

Analyst focus and Trevor's watch-list

Topic	2Q26	3Q26	Trend	3Q answer
Power project pipeline and timing	Asked	JPMorgan, Wells Fargo, Jefferies, TD Cowen	Rising	Partial: 'one or two', no GW or customer
Capex and funding, cost of capital	Asked	Citi, CIBC	Rising	Direct on 6.35% having moved; partial on structure
Equipment commitments	n.a.	Citi	New	Deflected: no link to GW
Project overbuild and returns	n.a.	TPH	New	Partial: no return figure
Transco and NESE	n.a.	Goldman, Wells Fargo	Persistent	Direct on process
Momentum, gathering, storage, LNG	n.a.	RBC, CIBC, UBS	Persistent	Direct

Watch-list: no analyst named by CK; I chose Spiro Dounis (Citi), who pressed hardest on funding. 3Q question: what reaches the high end of the 10% to 16% CAGR he read in the 10-Q, how funding ranks, and how $5.9bn of equipment ties to 6 GW-plus. Answer: 3.5x to 4x target, bolt-ons, partner capital; no strong link between equipment and GW. Rating: partial to deflected. Later evidence: the year-end award and its funding. Also Robert Catellier (CIBC) on JV structure: direct, with pricing moved from 6.35%. No one asked for Socrates EBITDA or agency treatment of the JV. Only the 3Q transcript was held, so the 2Q column is thin. — Trevor

3 KPI dashboard

Metric	This qtr	Prior qtr	Same qtr LY	QoQ / YoY flag
Revenue ($mn)	3,223	3,053	2,923	[↑] +5.6% / +10.3%
Service revenue ($mn)	2,319	2,152	2,121	[↑] +7.8% / +9.3%
Adjusted EBITDA ($mn)	2,039	1,921	1,920	[↑] +6.1% / +6.2%
Adjusted EPS	$0.54	$0.50	$0.49	[↑] +8.0% / +10.2%
GAAP diluted EPS	$0.56	$0.68	$0.53	[?] -17.6% / +5.7%
Operating income ($mn)	1,136	1,182	1,109	[~] -3.9% / +2.4%
Operating margin	35.2%	38.7%	37.9%	[↓] -3.5pp / -2.7pp
Trans., Power & Gulf adj. EBITDA ($mn)	1,030	959	947	[↑] +7.4% / +8.8%
Northeast G&P adj. EBITDA ($mn)	542	540	505	[~] +0.4% / +7.3%
West adj. EBITDA ($mn)	401	359	367	[↑] +11.7% / +9.3%
Operating cash flow ($mn)	1,505	1,376	1,439	[↑] +9.4% / +4.6%
AFFO ($mn)	1,589	1,450	1,449	[↑] +9.6% / +9.7%
Dividend coverage (AFFO)	2.42x	2.26x	2.37x	[↑] +0.16x / +0.05x
Capital investments ex-acq. ($mn)	2,727	1,642	1,053	[↓] +66% / +159%
Interest expense ($mn)	385	371	372	[~] +3.8% / +3.5%
Total debt ($mn)	33,934	30,793	n.a.	[↓] +10.2% / n.a.
Debt / adj. EBITDA (company basis)	3.80x	3.67x	3.73x	[↓] +0.13x / +0.07x
Power Innovation signed (MW)	2,588	2,588	n.a.	[~] flat

Note: for cost, debt and capex lines, [↓] means worse for shareholders. Company leverage nets cash and $857mn of reimbursable equipment. 2Q capital investments are shown ex $188mn reimbursable per the pre-call report (release $1,830mn); that does not reconcile to about $176mn YTD reimbursable, so treat the +66% as unconfirmed.

4 Guidance analysis

Metric	Guidance	vs. prior	vs. consensus	Mgmt explanation	Analyst read
FY26 adj. EBITDA	$8.3bn to $8.5bn; upper half	Maintained, tone better	No consensus found	Transmission, storage and gathering strength	Implies $2,186mn to $2,286mn in 4Q
FY26 growth capex	$7.3bn to $7.9bn	Maintained	n.a.	Excludes reimbursable equipment	Excludes any new power project
Year-end leverage	About 3.75x before new power projects	About 3.9x in our preview (2Q call); run-rate Momentum basis	n.a.	About $2bn room to 4x; tight mainly in 2026-27	Cause of the difference is our inference: definition
FY26 adj. EPS midpoint	$2.35	Maintained	Below $2.41 to $2.42	None given	Estimates may drift down [INFERENCE]
EBITDA CAGR to 2030	11%-plus	Maintained	n.a.	Backlog; ROIC-linked pay	Citi reads 10% to 16% in the 10-Q; CFO called 16% the high end to chase
New power projects	One or two by year-end; more in 2027	New, firmer than 'soon'	n.a.	Depends on signed agreements and permits	A binary test by 31 December

Underlying economic performance: solid. Service revenue +9%, AFFO +10%, operating income +2% as G&A ($275mn vs $168mn, with deal costs) and DD&A (+10%) rose. Deal costs look temporary; depreciation is structural as capital enters service.

5 Strategic / moat evolution

Dimension	Condition	Direction	Key observations	Investment implication
Gas network and Transco	Strong	Stable	Over 400 MMcf/d added; SESI II 150+ MMcf/d contracted, open season up to about 390 MMcf/d, build multiple 4x to 6x	Low-multiple expansions anchor returns
BTM execution	Improving	Up	Phase 1 in under 18 months from commercialization; Phase 2 ahead of schedule, within budget (CEO)	Speed is what hyperscalers pay for
Equipment access	Strong	Up	About $5.9bn committed for potential projects; supports backlog into early 2030s (CEO)	Scarce turbines are an asset, and a liability if projects slip
Cost of capital	Good, may rise	Down	Blackstone 6.35% in July; pricing moved since, with 10-year yields, direction not stated	Next JV may earn a thinner spread [INFERENCE]
Permitting	Mixed	Down	NESE remand; Senate cloture vote set for 9 November on permitting bill	Regulated growth depends on courts

5 to 10 year view: Transco expansion runs into the 2030s and supports the compounder case. Power Innovation adds optionality if contracts lengthen beyond the current up to 12.5 years (10-K, per preview); residual value after the primary term remains the undisclosed risk.

6 Major risks and changes

Risk	Prior	Current	Direction	Implication
Funding intensity	Higher	Higher	Flat	Capital investments plus dividends exceed cash flow; $2bn room to 4x covers only part of a large project
Equipment commitments	Not flagged	Monitoring	Up	About $5.9bn; cancellation terms undisclosed in what we read
NESE timing	Low	Monitoring	Up	No material outlook effect per CEO; timing at risk
Power counterparty concentration	High	High	Flat	Management signals a more diversified customer base and high-quality counterparties; none named
Delivery	Moderate	Lower	Down	Socrates Phase 2 due this week

Concern: will AI power earn its capital? → Response: returns should hold at scale, phased builds, longer tenors. → Evidence: none yet in numbers; TPH's overbuild question got no return figure.

Concern: leverage. → Response: about 3.75x, 2026-27 tight, stronger earnings from 2028. → Evidence: 3.80x, debt +$3.1bn in the quarter, 4.11x gross (our math).

7 Capital, funding and per-share impact

Period	Capital inv. ex-acq.	Operating cash flow	Gap	Debt	Equity and JV
3Q26	$2,727mn	$1,505mn	$1,222mn	$2.75bn notes; debt +$3,141mn QoQ	$3,737mn JV cash; $2,020mn stock to Momentum sellers
YTD26	$6,011mn	$4,484mn	$1,527mn	Debt +$4,573mn vs Dec-25	As above

Net debt $32,178mn (cash $1,756mn) against $30,590mn in June. Debt due within a year $2,202mn. Shares 1,250.2mn at end-October; dividend $0.525 a quarter, coverage 2.42x. Funding options for larger projects per CFO: another JV, a period of higher leverage, or insurance capital.

Price: $71.19 at the 2 November close; about $74.22 after hours (+4.25%) per Investing.com. This corrects the pre-call report, which called the -4.25% a decline. No 3 November close, bond or CDS quote verified.

8 Monitoring checklist

5 signals: Power award GW and tenor; year-end leverage; Socrates Phase 2 in service; NESE ruling; first 2027 framework in February.

Key risks building: Possibly costlier partner capital; $5.9bn of commitments; NESE.

Confirmation signals: An award from a new counterparty with a term above 12.5 years, funded within 4x.

Conviction tripwires: No award by 31 December; leverage above 4x; NESE slipping beyond next winter with a guide cut.

Questions for owners

- Will at least one project be announced before year-end? → *Answered: one or two expected; GW and customer not given.*
- What do the agencies calculate, and how do they treat 49% of JV EBITDA? (credit) → *Not asked. Still open.*
- Will new power use a JV or corporate debt? (credit) → *Asked by CIBC: JV, higher leverage or insurance capital; pricing moved from 6.35%.*
- What did Socrates add to 3Q EBITDA net of 49%? → *Not asked or answered; first measured return remains missing.*
- Why does the EPS midpoint not move with EBITDA in the upper half? → *Not found in the call summary reviewed.*
- Do $5.9bn of commitments bind if awards slip, and what is the cancellation cost? (credit) → *New. CFO cited cancellation terms without amounts.*

Read-across for Kona: Two points for Kona. First, Williams pays for equipment ahead of signed projects at scale, about $5.9bn, and hyperscalers reward speed; Kona should fix turbine or genset slots only with cancellation terms it can state to lenders. Second, the price of partner capital moved within four months of 6.35%, so Kona should not model a fixed JV return; ask infrastructure investors for a range and a rate reset. No change to pricing, since Williams still discloses no PPA price.